

If you look carefully, almost all Old Money secrets can be traced to a single source: a longer-term outlook. The truly wealthy are careful to spend their money on things that hold their values over time.

It's why they do not trade in and out of investments. Instead, they find a few positions and stick with them—for decades.

It's also why they prepare their families, over the course of many, many years, so that they will be prepared for the challenges of managing and enlarging the family wealth.

It's why they invest in education and training. And why they make sure family members add to their collective wealth, rather than subtracting from it.

It's why they try to guide their children to suitable spouses. They know that a rotten apple will spoil the barrel.

It's why they spend time and money on lawyers and accountants, too, making sure that the structures are in place to pass along wealth and protect it.

It's why they prefer deep-value assets over momentum investing. Over time, value rises to the top. Momentum slows.

It's why they will wait a long time—many, many years—for the right investment at the right price.

It's why they like investments with long-term payoffs, such as timber, mining, and infrastructure. And it's how they are able to benefit from compound growth, letting relatively modest gains grow over several generations.

It's why they are almost fanatical about eliminating costs: taxes, investment charges, and unrewarding living expenses. They know that wear and tear, over time, will wreck their family fortunes.

It's why they develop long-lasting partnerships with the professionals they need to make sure their interests are protected and their plans are carried out.

It is all a matter of time. They have money. But they expect to have it for a long time. So they work hard, investing in education and professional advice, to make sure they have the personal resources they need.

As you will see in the pages that follow, the long view comes into play in almost everything. But it's one thing to talk about the "long view" and quite